

Background of the Kenyan Finance Bill 2026

The Kenyan Finance Bill is an annual government proposal that introduces changes to taxation, public revenue collection, and fiscal policy. It is usually presented alongside the national budget to help the government raise revenue for development projects, debt repayment, public services, and economic stabilization.

The proposed **Finance Bill 2026** was released on 30 April 2026 by the Government of Kenya through the National Treasury. The Bill mainly focuses on:

- * Broadening the tax base
- * Improving tax compliance
- * Increasing government revenue collection
- * Expanding taxation on digital and informal sectors
- * Strengthening enforcement by the Kenya Revenue Authority (KRA)

Unlike the highly controversial Finance Bill 2024, the 2026 Bill appears more targeted and administrative, avoiding aggressive taxation on basic commodities while introducing taxes on digital transactions, betting, imports, and financial services. ([Cliffe Dekker Hofmeyr][1])

Comparison: Finance Bill 2026 vs Finance Bill 2025

Area	Finance Bill 2025
Finance Bill 2026	
Key Difference	
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Betting Tax	Reduced or relaxed some betting-related taxation
Reintroduced 20% withholding tax on winnings and 5% tax on wallet withdrawals	
2026 tightens betting taxation	
Rental Income Tax	Monthly rental income tax at 7.5%
Proposed increase to 10%	
Higher tax burden on landlords	
Digital Economy	Continued digital service taxes
Expanded VAT to digital and platform-based financial services	
Broader digital taxation	
Filing Returns	Returns filed within 6 months after year-end
Deadline reduced to 4 months	
Stricter compliance timelines	
Second-hand Clothes (Mitumba)	No direct import tax proposal
Introduces tax on imported second-hand clothing	
New revenue source	
Financial Transactions	Some payment fees exempt after court rulings
Introduces withholding tax on interchange and merchant fees	
Government reversing revenue losses	
Capital Gains Tax	Applied mainly with ownership threshold

Expanded to indirect share transfers without 20% threshold	
Wider CGT coverage	
Tax Amnesty	Limited relief measures
Introduces tax amnesty up to Dec 2025 liabilities	
Encourages voluntary compliance	

([RSM Global][2])

New Taxes and Proposed Changes in Finance Bill 2026

1. Betting and Gaming Taxes

New Proposal

- * 20% withholding tax on betting winnings
- * 5% withholding tax on betting wallet withdrawals

Justification

The government argues that the betting industry has grown rapidly and remains undertaxed. The taxes are intended to:

- * Increase revenue collection
- * Discourage excessive gambling
- * Bring betting activities into the formal tax system

([Cliffe Dekker Hofmeyr][1])

2. Tax on Imported Second-hand Clothes (Mitumba)

New Proposal

A proposed tax equivalent to about 1.5% of customs value on imported used clothing and similar items.

Justification

The government says the measure aims to:

- * Protect local textile industries
- * Promote local manufacturing under the “Buy Kenya, Build Kenya” agenda
- * Raise additional customs revenue

Critics argue that it may increase clothing prices for low-income consumers.

([RSM Global][2])

3. VAT on Digital and Platform-based Financial Services

New Proposal

Digital financial platforms and online financial services may now attract VAT.

Justification

The government seeks to:

- * Capture revenue from the growing digital economy
- * Ensure fintech companies contribute fairly to taxation
- * Modernize tax laws in line with digital commerce growth

This affects fintech platforms, digital lenders, and online financial services.

([RSM Global][2])

4. Increase in Rental Income Tax

New Proposal

Increase monthly rental income tax from 7.5% to 10%.

Justification

Government argues that:

- * The property sector has experienced growth
- * Rental income remains underdeclared
- * The increase simplifies revenue collection from landlords

Landlords fear the extra cost may be transferred to tenants through higher rent.

([RSM Global][2])

5. Withholding Tax on Card and Merchant Fees

New Proposal

Introduction of withholding tax on:

- * Interchange fees

- * Merchant service fees
- * Card payment company charges

Justification

This follows court decisions that had exempted some financial transaction fees from taxation. The government aims to recover lost tax revenue from the financial services sector.

([RSM Global][2])

6. Expanded Capital Gains Tax (CGT)

New Proposal

CGT extended to indirect transfer of shares involving Kenyan assets, even where the seller is non-resident.

Justification

The government wants to:

- * Prevent multinational tax avoidance
- * Ensure gains from Kenyan assets are taxed in Kenya
- * Align with international tax practices

Investors worry this may reduce foreign investment attractiveness.

([Cliffe Dekker Hofmeyr][1])

Overall Assessment

The Finance Bill 2026 reflects the government's continued effort to increase domestic revenue without heavily taxing essential consumer goods directly. Compared to the Finance Bill 2025, the 2026 proposals place greater emphasis on:

- * Digital economy taxation
- * Gambling sector taxation
- * Financial transaction monitoring
- * Expanding the tax base
- * Stronger compliance enforcement

The Bill also attempts to balance revenue generation with economic recovery by introducing tax amnesty measures and avoiding some of the highly unpopular tax proposals seen in earlier years. However, concerns remain over the rising cost of living, pressure on businesses, and the effect of new taxes on ordinary Kenyans and

small enterprises. ([Cliffe Dekker Hofmeyr][1])

[1]:

https://www.cliffedekkerhofmeyr.com/en/news/publications/2026/Kenya/Tax-Exchange-Control/tax-and-exchange-control-alert-8-may-Analysis-of-the-Finance-Bill-2026?utm_source=chatgpt.com "Analysis of the Kenya Finance Bill 2026"

[2]:

https://www.rsm.global/kenya/news/rsmea-newsletter-overview-kenya-finance-bill-2026?utm_source=chatgpt.com "RSMEA Newsletter - Overview of The Kenya Finance Bill ..."